MODULE 4 · MONEY MATTERS

# Taxes We Pay

**StreetSmarter** : Because no one taught us this stuff [www.streetsmarter.in](http://www.streetsmarter.in)

You've been paying tax since your first packet of chips, whether you noticed it or not. Taxes fund the roads, schools, and hospitals from earlier modules, this is how that actually works, and what changes once you start earning.

## 1. Two Kinds of Tax

- Direct tax: charged directly on what you earn, income tax being the main example. You pay it straight to the government based on your income.
- Indirect tax: charged on what you spend, built into the price of goods and services. GST is the big one here, and you pay it every time you buy almost anything, without a separate step.

### 2. GST: The Tax You're Already Paying

GST (Goods and Services Tax) is baked into the price tag of nearly everything you buy, which is why it often goes unnoticed.

- As of September 2025, GST was significantly simplified. The old four-slab system (5%, 12%, 18%, 28%) was reduced mainly to two rates, 5% and 18%, with a new 40% slab for luxury and "sin" goods like tobacco and pan masala.
- Everyday essentials, unpacked food grains, fresh produce, milk, printed books, are taxed at 0% (exempt).
- Most everyday goods and services now fall under the 5% or 18% slabs, this covers most of what you actually buy day to day, from snacks to electronics.
- Health and life insurance premiums were moved to 0% GST as part of this reform, one of the more direct benefits for regular families.

## 3. Income Tax: Who Actually Pays It

- Under the current new tax regime (the default option), the basic exemption limit is Rs. 4 lakh, income below that isn't taxed at all.
- Thanks to a rebate under Section 87A, resident individuals with taxable income up to Rs. 12 lakh pay effectively zero income tax, even though the slabs technically start earlier.
- For salaried individuals, an additional Rs. 75,000 standard deduction pushes the effective tax-free limit to about Rs. 12.75 lakh.
- None of this applies to you as a student with no income, but it will matter the moment you start earning, whether that's a stipend, a part-time job, or your first full salary.

## 4. TDS and Your First Stipend

- TDS (Tax Deducted at Source) means tax gets deducted before you even receive the payment, common with internship stipends and freelance work above certain amounts.
- If TDS was deducted but your total yearly income is actually below the taxable threshold, you're entitled to claim that money back, but only if you file an Income Tax Return (ITR) for that year.
- This is the single most missed refund among students and first-time earners: money deducted automatically, never claimed back, simply because no one filed a return to ask for it.

## 5. Do You Need to File a Return?

- If your income is below the basic exemption limit, filing isn't mandatory, but it's often still worth it if any TDS was deducted, purely to get that refund.
- Even a "NIL" return (filed showing no tax due) can help later, for visa applications, loan applications, or simply having an official income record.
- Filing is done directly on the Income Tax Department's e-filing portal, free, and increasingly simplified for people with straightforward income like a single stipend or salary.

### A Few Myths, Busted

| Myth | Fact |
|---|---|
| If tax was deducted from my stipend, I've lost that money for good. | If your total income is below the taxable limit, you can claim it back, but only by filing an ITR for that year. |
| You only need to file a tax return once you're earning a huge salary. | Even a NIL return, filed with no tax due, can help with future visa, loan, or income-proof needs, worth doing even at low income. |
| GST is a tax businesses pay, not something that affects me. | GST is built into the price of almost everything you buy, you're paying it every day, even as a student. |

*This page explains how these taxes work in general, it isn't personalised tax advice. For actual filing or refund questions, use the official Income Tax e-filing portal or consult a tax professional.*

## Useful Links

**Income Tax e-Filing Portal** · *file your ITR, check refund status, and find official tax information*

**GST Council / CBIC** · *official information on current GST rates and rules*